

A MID-LEVEL IT EMPLOYEE AT an MNC juggles his well-paying job with freelance work, routing the additional income through his wife's bank account. An efficient worker who has never faced client escalation, he took on the extra work to repay his family's debts after he lost his father.

A lead developer in telecom says his side hustle is a step towards realising his dream of becoming an entrepreneur while his full-time job is bread and butter. His employer, however, is not aware of the second income. It was tough initially, but later he found that he could manage both.

A software developer says he allowed his employees to take up freelancing jobs in his previous stint as the founder of a start-up because his fledgling outfit could not match their previous salaries.

Cited above are three real-life cases narrated by tech employees requesting anonymity because of the spotlight on what has become a vexed issue in India's IT industry—moonlighting. During the peak of the pandemic, work from home was the unthinkable transition that India's software technology industry—with its five million-strong workforce—pulled off. But in the new normal that remote working ushered in, new challenges have inevitably sprung up—employees making use of this flexibility to take on an extra gig being one of them.

Tech employees doing freelance coding on the side isn't exactly new. But companies with large workforces have started cracking down. Wipro's executive chairman Rishad Premji on September 21 revealed that his firm had terminated as many as 300 employees who were 'working directly' for a competitor. This set off an industry-wide debate on ethics, illegality and gig work.

5 MILLION
The size of the IT/ ITeS workforce in India

1.4 MILLION
Staff strength of the top 4 Indian IT services firms

PANDEMIC-INDUCED PHENOMENON

If part-time freelancing occurred in some measure before the pandemic, what brought matters to a head? Industry sources point to the dramatic shifts in the past two years. First, demand for tech skills shot up as the pestilence forced businesses to rapidly shift to digital platforms. But specialised skills, in cloud technologies or app development, were in short supply—even now, techies with digital expertise are highly sought-after. Also, working from home, while saving time on daily office commutes, made supervision of employees more difficult. Moonlighting, therefore, became a tad more attainable. As an IT employee puts it, the transition from 'shutting down your office laptop after work and starting on your personal laptop' became easier. "We all knew it was happening, but the magnitude, in the beginning, surprised me," says Arpinder Singh, who leads forensic and integrity services at consulting firm EY. In some cases, people were juggling 3-4 jobs. "It may have started in the beginning of Covid where, to be fair, the uncertainty of jobs may have pushed some to become freelancers. But it took on a life of its own as we got deeper into Covid." Agrees Amit Jaju, senior managing director with Ankura Consulting, who says the number of investigations his firm takes up has increased of late. "We used to get one case a month, which has